

Behavioral Investor Types

Building on the idea of classifying investors by their psychographic characteristics, as did the works of BB&K and Barnewall, I have identified four behavioral investor types (BITs) which I will review in detail in Chapter 26 using a process called behavioral alpha (BA). The objective of the BIT categorization scheme, similar to that of BB&K and Barnewall's work, is to assist advisors and investors in better understanding their behaviors in an effort to make better investment decisions.

This section will review the basics of this process, building on key concepts in previous articles published in the *Journal of Financial Planning* and the first edition of this book. These early works outlined a method of applying behavioral finance to private clients in a way that I now refer to as "bottom-up." This means that for advisors or investors to diagnose and treat behavioral biases, they must first test for all behavioral biases in the client (listed in this book), and then determine which ones apply before creating a behaviorally modified investment plan such as those presented in the first reading. Using the BA method, advisors and investors can simplify this process by testing for the behavioral biases they are likely to encounter, based on the psychological profile of clients, and then considering how to correct for or adapt to the biases.

The reason that I created the BA method is that it is easier to implement. In one of my early papers,²⁰ I explain how to plot the bias type and wealth level information on a chart to create a "best practical allocation" or "best behaviorally modified allocation" for the client. However, some advisors may find this bottom-up approach too time consuming or complex. BA is a simpler, more efficient approach to bias identification that is "top-down," a shortcut if you will, that makes bias identification more efficient for the purpose of determining which type of bias a client might have. Efficiency is essential for advisors and investors to be able to apply behavioral finance in practice.

This introduction will hopefully whet your appetite for learning more about behavioral investor types. We will now move on to incorporating investor behavior into the asset allocation process in Chapter 3. For a more complete review of BITs, please turn to Chapter 26

NOTES

1. Adam Smith, *The Theory of Moral Sentiments* (1759).
2. Jeremy Bentham, *An Introduction to the Principles of Morals and Legislation* (1789).